LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Is ECB Funding ?

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Executive Summary & Masterclass Overview

External Commercial Borrowing (ECB) Funding represents the primary cross-border debt financing mechanism utilized by Indian corporate entities, infrastructure developers, financial institutions, and non-banking financial companies (NBFCs) to access offshore commercial capital pools. Regulated under the statutory framework of the Foreign Exchange Management Act, 1999 (FEMA) and governed by the Reserve Bank of India (RBI) Master Direction on External Commercial Borrowings, Trade Credits and Structured Obligations, ECB structures enable eligible Indian borrowers to raise foreign currency or Indian Rupee (INR) denominated debt from recognized non-resident lenders.

By tapping global capital markets in London, Singapore, New York, Frankfurt, Tokyo, and GIFT City (Gujarat International Finance Tec-City), Indian corporates unlock substantial interest rate arbitrage, obtain extended debt tenures ranging from 3 to 10+ years, and secure massive ticket sizes that exceed domestic banking single-lender and group-exposure limits. However, navigating ECB funding requires strict adherence to regulatory parameters—including Minimum Average Maturity Periods (MAMP), All-in-Cost Ceilings benchmarked to Secured Overnight Financing Rate (SOFR) or Euro Short-Term Rate (€STR), end-use negative lists, arm's-length pricing, and mandatory statutory reporting via Loan Registration Numbers (LRN) and monthly Form ECB-2 returns.

This white paper reference manual is designed as an exhaustive masterclass for corporate CFOs, treasury directors, credit underwriters, investment bankers, and finance trainees. It delivers an end-to-end technical breakdown of ECB funding mechanics, comparative capital matrixes, legal security creation protocols, hedging architectures, tax shields under Section 194LC and Section 36(1)(iii) of the Income Tax Act, 1961, an in-depth Indian Rupee (INR) numerical case study, and a professional certification examination.

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Module 1: Theoretical Foundations, Product Overview & Global Capital Arbitrage

1.1 Product Definition & Statutory Concept

An External Commercial Borrowing (ECB) is defined as commercial debt raised by an eligible resident Indian entity from recognized non-resident entities in accordance with the regulatory framework laid down by the Reserve Bank of India under FEMA 1999. Unlike foreign direct investment (FDI), which represents foreign equity or compulsorily convertible instruments, ECBs represent pure debt or hybrid debt obligations that carry contractual interest servicing and principal repayment mandates.

ECB facilities are broadly categorized into two structural streams:

1. **Foreign Currency Denominated ECB (FCY ECB):** Borrowed and disbursed in freely convertible foreign currencies such as United States Dollars (USD), Euros (EUR), Japanese Yen (JPY), British Pounds (GBP), or Swiss Francs (CHF). The principal and interest servicing obligations are denominated in the respective foreign currency, exposing unhedged borrowers to foreign exchange rate volatility.
2. **Indian Rupee Denominated ECB (INR ECB / Masala Bonds):** Borrowed and disbursed in Indian Rupees or converted to INR at the prevailing market exchange rate. In an INR ECB, the non-resident lender bears the underlying currency fluctuation risk, while the resident borrower services debt in Indian Rupees.

1.2 The Global Capital Cost Arbitrage Philosophy

The fundamental economic driver behind ECB funding is the **Global Capital Cost Arbitrage**. Mature developed economies exhibit lower benchmark interest rates (such as 6-month Term SOFR at ~4.50%–5.00% p.a.) compared to domestic Indian commercial banking benchmark rates (such as Marginal Cost of Funds Based Lending Rate - MCLR at ~8.50%–9.50% p.a. or External Benchmark Lending Rate - EBLR at ~9.00%–10.00% p.a.).

Even after factoring in credit risk spreads, foreign exchange hedging costs (via Cross-Currency Swaps - CCS or Forward Contracts), and non-resident withholding tax (TDS under Section 194LC), Indian corporate borrowers with strong credit profiles or natural foreign currency export hedges can achieve a net all-in cost of capital that is **200 to 450 basis points (2.00%–4.50% p.a.) lower** than domestic Rupee loans.

Furthermore, offshore capital markets offer unprecedented liquidity depth. A single syndicated ECB facility can easily aggregate USD 100 Million to USD 1 Billion+ (₹830 Crores to ₹8,300+ Crores) from global commercial banks, institutional debt funds, and multilateral development agencies—bypassing the single-borrower exposure limits imposed on Indian public and private sector banks under RBI Prudential Exposure Norms.

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1.3 Key Financial Metrics & Economic Drivers

To evaluate the viability of ECB funding, financial architects analyze four core economic parameters:

- **Benchmark Rates:** The reference floating rate used to price foreign currency debt. Post-LIBOR transition, the global gold standard is **Term SOFR** (Secured Overnight Financing Rate) for USD, **€STR** (Euro Short-Term Rate) for EUR, and **TONA** (Tokyo Overnight Average Rate) for JPY.
- **Credit Risk Spread:** The margin added over the benchmark rate by offshore lenders to reflect the borrower's credit rating, sovereign risk of India, asset collateralization, and financial covenant strength.
- **All-in-Cost Ceiling:** The statutory interest rate cap mandated by the RBI. For FCY ECBs, the All-in-Cost ceiling is capped at **Benchmark Rate + 450 basis points (4.50% p.a.)** for normal commercial operations (or +550 bps for eligible financial restructuring). For INR ECBs, the cap is **Benchmark Rate + 450 bps** over prevailing prevailing yields.
- **Minimum Average Maturity Period (MAMP):** The statutory minimum weighted average tenure of the loan before principal repayment is permitted. The standard MAMP across sectors is **3 years** for loans up to USD 50 Million (or equivalent) per financial year, expanding to **5 or 10 years** for specific end-uses such as working capital, general corporate purposes, or domestic loan refinancing.

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Module 2: Structural Classification & Foreign Currency vs. Rupee ECB Architecture

2.1 Comparative Matrix: Foreign Currency ECB vs. Rupee ECB (Masala Bonds) vs. Domestic Rupee Debt

The table below provides a detailed structural comparison across key parameters governing corporate debt options in India:

Feature / Metric	Foreign Currency Denominated ECB (FCY ECB)	Rupee Denominated ECB (INR ECB / Masala Bonds)	Domestic Commercial Rupee Loan
Denomination Currency	Freely Convertible FX (USD, EUR, JPY, GBP)	Indian Rupee (INR)	Indian Rupee (INR)
Currency Risk Bearer	Resident Indian Borrower (Unless Hedged)	Non-Resident Offshore Lender	Resident Indian Borrower
Primary Lenders	Foreign Commercial Banks, Multilaterals, ECA, International Funds	Offshore Institutional Investors, Supranationals, FPIs	Indian Scheduled Commercial Banks, NBFCs, Domestic Financial Institutions
Regulatory Framework	RBI ECB Master Directions & FEMA 1999	RBI ECB Master Directions & FEMA 1999	RBI Commercial Bank Credit Directions & Banking Regulation Act
Statutory Registration	LRN Allocation from RBI via AD Cat-I Bank	LRN Allocation from RBI via AD Cat-I Bank	Direct Bank Loan Sanction & CERSAI/ROC Charge
Pricing Benchmark	Term SOFR / €STR / TONA + Spread	Prevailing G-Sec / Corporate Bond Yield + Spread	Bank MCLR (8.50%-9.50%) or EBLR (9.00%-10.00%)
All-in-Cost Ceiling	Benchmark + 450 bps p.a.	Benchmark + 450 bps p.a.	Uncapped (Market Competitive Commercial Rates)
Standard MAMP	3 Years (5-10 Years for Working Capital/Refinancing)	3 Years (5-10 Years for Working Capital/Refinancing)	Flexible (1 to 15 Years based on Cash Flow Appraisal)
Withholding Tax (TDS)	5% Concessional TDS under Sec 194LC (Subject to conditions)	5% Concessional TDS under Sec 194LC	No Foreign TDS (10% Domestic TDS under Sec 194A)
End-Use Restrictions	Strict Negative List (No Real Estate, Equity, Capital Market)	Strict Negative List (No Real Estate, Equity, Capital Market)	Flexible Working Capital & Project Capex

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2.2 Foreign Currency ECB Architecture (FCY ECB)

In an FCY ECB structure, the Indian corporate enters into a Facility Agreement with a foreign bank syndicate or offshore entity. Disbursal occurs in foreign currency into an offshore account or an Authorised Dealer (AD Category-I) bank account in India.

- **Natural Hedge Advantage:** Ideal for pure exporters (such as IT/SaaS firms, Pharmaceutical API manufacturers, Textile exporters, and Auto component exporters) whose operational revenues are denominated in USD or EUR. Export proceeds automatically service FCY interest and principal, eliminating foreign exchange conversion risk.
- **Financial Hedge Requirement:** Non-exporting borrowers operating in domestic markets (such as telecom, renewable energy, or domestic manufacturing) receiving INR revenues must execute financial hedging contracts—such as Cross-Currency Swaps (CCS), Principal Only Swaps (POS), or Interest Rate Swaps (IRS)—for at least 70% to 100% of their debt servicing exposure under RBI prudential risk guidelines.

2.3 Rupee Denominated ECB Architecture (INR ECB & Masala Bonds)

In an INR ECB structure, the debt amount is expressed in Indian Rupees, but the offshore investor remits foreign currency equivalent at the prevailing spot rate. Servicing payments (interest and principal) are calculated in INR and converted into foreign currency at the spot rate on the payment date.

- **Masala Bonds:** Rupee-denominated bonds issued by Indian corporates in international financial centers (e.g., London Stock Exchange, Singapore Exchange).
- **Elimination of Currency Risk:** The Indian corporate is fully insulated against Rupee depreciation. If the INR depreciates by 10% against the USD during the loan tenure, the non-resident investor absorbs the loss upon conversion back to USD.

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Module 3: The End-to-End Operational Lifecycle & 8-Stage Execution Waterfall

The execution of an External Commercial Borrowing (ECB) facility follows a rigorous, multi-stage transaction lifecycle that integrates international debt syndication, legal documentation, credit underwriting, and statutory RBI compliance.

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|                    8-STAGE ECB EXECUTION WATERFALL                      |
+-------------------------------------------------------------------------+
| Stage 1: Feasibility Audit, Currency Sizing & WACC Optimization         |
| Stage 2: RFP Mandate, MLA Appointment & Offshore Term Sheet Execution   |
| Stage 3: Board Resolution & Shareholders' Special Resolution (Sec 62/180) |
| Stage 4: LRN Allocation Application via AD Cat-I Bank (Form ECB to RBI) |
|Stage 5:Cross-Border Legal Documentation(LMA Facility Agreement & Security)|
| Stage 6: SWIFT Disbursal into AD Bank Escrow & Form CHG-1 Charge        |
|          Registration                                                   |
| Stage 7: Active Debt Servicing,FX Derivatives Hedging & Monthly Form ECB-2|
| Stage 8: Facility Maturity Amortization / Refinancing / Bullet Redemption |
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3.1 Detailed Breakdown of the 8 Stages

Stage 1: Feasibility Audit, Currency Sizing & WACC Optimization

The corporate treasury conducts a quantitative financial evaluation comparing domestic Rupee debt against offshore foreign currency options. The team analyzes benchmark interest rate curves (SOFR/€STR), credit spreads, withholding tax (TDS under Section 194LC), Cross-Currency Swap (CCS) hedging premiums, and projected cash flow debt service coverage ratios (DSCR).

Stage 2: RFP Mandate, MLA Appointment & Term Sheet Execution

The borrower issues a Request for Proposal (RFP) to international commercial banks and investment funds. Upon evaluation, the borrower awards Mandated Lead Arranger (MLA) status to select offshore institutions and executes a binding Term Sheet specifying facility amount, currency, MAMP, interest pricing spread, commitment fees, financial covenants, and security requirements.

Stage 3: Corporate Authorizations & Statutory Resolutions

The borrower passes necessary corporate resolutions under the Companies Act, 2013: * **Board Resolution:** Authorizing the borrowing, key signatories, and execution of cross-border loan documents under Section 179(3)(d). * **Shareholders' Special Resolution:** Authorizing borrowing limits exceeding paid-up capital and free reserves under Section 180(1)(c), and creation of security charges over company assets under Section 180(1)(a).

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Stage 4: LRN Allocation Application via AD Category-I Bank (Form ECB)

Prior to loan execution or disbursal, the borrower submits **Form ECB** in duplicate to its designated Authorised Dealer Category-I (AD Cat-I) bank in India. The AD bank verifies eligibility criteria, MAMP compliance, All-in-Cost ceilings, and end-use conditions. Upon validation, the AD bank forwards the application to the Reserve Bank of India (Foreign Exchange Department, Central Office, Mumbai) to obtain a unique **Loan Registration Number (LRN)**.

> **CRITICAL RULE:** No ECB funds can be drawn down or remitted to India without a valid LRN allocated by the Reserve Bank of India.

Stage 5: Cross-Border Legal Documentation & Security Creation

Legal counsels draft standardized Loan Market Association (LMA) facility agreements, intercreditor agreements, and security trust deeds. Security documents—such as Section 58(f) Equitable Mortgages, asset hypothecation agreements, and share pledge deeds—are finalized in alignment with Indian property and contract laws.

Stage 6: SWIFT Disbursal & Statutory Charge Filings

Upon LRN allocation and execution of security deeds, the offshore lender remits funds via SWIFT MT103 into the borrower's designated foreign currency account or AD Cat-I bank account in India. Within **30 days of charge creation**, the borrower files **Form CHG-1** with the Registrar of Companies (ROC) under Section 77 of the Companies Act, 2013, and registers the security charge on the CERSAI portal.

Stage 7: Active Servicing, FX Risk Management & Monthly Form ECB-2 Reporting

The borrower services ongoing interest and principal obligations through its AD Cat-I bank. For unhedged FCY ECBs, the treasury executes derivative contracts (CCS/POS) with AD banks. By the **10th day of every month**, the borrower must submit **Form ECB-2** through its AD Cat-I bank to the RBI, detailing actual drawdowns, interest servicing, principal repayments, FX hedging status, and outstanding ECB balances.

Stage 8: Facility Maturity Amortization or Refinancing

The facility matures according to its agreed amortization schedule or bullet repayment. The borrower repays the lender or executes an eligible ECB refinancing transaction by raising a fresh ECB at equivalent or lower all-in-cost parameters to extinguish the maturing debt.

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Module 4: Regulatory, Underwriting & Compliance Framework (RBI Master Directions)

4.1 Automatic Route vs. Approval Route Framework

Under the RBI Master Direction – External Commercial Borrowings, Trade Credits and Structured Obligations, ECB facilities are processed under two distinct approval routes:

1. The Automatic Route

Under the Automatic Route, eligible corporate borrowers do not require prior approval from the Reserve Bank of India or the Ministry of Finance. The designated AD Category-I bank is empowered to examine, approve, and process the ECB application, verify statutory compliance, and directly request the LRN from the RBI Central Office.

- **Annual Borrowing Limit:** Eligible entities can raise up to **USD 750 Million (or equivalent)** per financial year under the Automatic Route.
- **Startups Limit:** Eligible startups can raise up to **USD 3 Million (or equivalent)** per financial year under concessional automatic route parameters.

2. The Approval Route

Borrowing proposals that fall outside the parameters of the Automatic Route must be submitted through an AD Cat-I bank to the Reserve Bank of India for prior approval. Proposals are evaluated by the **Empowered Committee** constituted by the RBI, considering national macroeconomic priorities, capital flow stability, and project viability.

- **Triggers for Approval Route:**
  - Borrowing requests exceeding USD 750 Million per financial year.
  - Proposals involving non-standard recognized lenders or specialized structural relaxations.
  - ECB proposals from entities undergoing corporate debt restructuring or insolvency proceedings requiring specific regulatory permissions.

4.2 Eligible Borrowers & Recognized Lenders

The RBI maintains a strict classification governing participating entities in cross-border debt transactions:

Eligible Borrowers

- All entities eligible to receive Foreign Direct Investment (FDI) under DPIIT policy.
- Port Trusts, Units in SEZs, Central/State Power Utilities.
- Registered Micro, Small, and Medium Enterprises (MSMEs).
- Registered Non-Banking Financial Companies (NBFCs) and Housing Finance Companies (HFCs).

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- Registered Startups (under the Startup ECB framework).

Recognized Lenders

The non-resident lender must be resident in a Financial Action Task Force (FATF) or International Organisation of Securities Commissions (IOSCO) compliant jurisdiction. Permissible lenders include: * Foreign Commercial Banks and International Financial Institutions. * Multilateral and Bilateral Financial Institutions (e.g., IFC, ADB, DEG, KfW). * Foreign Equity Holders (holding a minimum direct equity stake of 25% in the borrowing entity, or indirect stake of 51%). * Overseas Institutional Investors, Pension Funds, Sovereign Wealth Funds, and Debt Funds. * International Capital Market Investors (for listed Masala Bonds / Foreign Currency Bonds).

4.3 Minimum Average Maturity Period (MAMP) Mandates

The statutory MAMP requirements imposed by the RBI are designed to prevent short-term volatile debt accumulation and ensure long-term capital stability:

Category / End-Use	Borrowing Entity / Scenario	Statutory MAMP Requirement
Standard Baseline MAMP	All Eligible Corporate Borrowers (Loans up to USD 50M)	**3 Years**
Large Ticket FCY ECBs	Borrowings exceeding USD 50 Million per Financial Year	**5 Years**
Working Capital & General Corporate	Raised from Foreign Equity Holders	**5 Years**
Working Capital & General Corporate	Raised from Non-Equity Holder Commercial Lenders	**10 Years**
Domestic Rupee Loan Refinancing	Refinancing domestic loans for Capex purposes	**7 Years**
Domestic Rupee Loan Refinancing	Refinancing domestic loans for Non-Capex purposes	**10 Years**
NBFC On-lending	On-lending by NBFCs for Working Capital / General Corporate	**10 Years**
Eligible Startups	Raised under the Startup ECB Framework (Up to USD 3M)	**3 Years**

4.4 All-in-Cost Ceilings & Fee Structures

The All-in-Cost framework defines the maximum permissible annual expenditure a borrower can incur on an ECB facility.

- **Components Included:** The All-in-Cost encompasses rate of interest, margin/credit spread, commitment fees, underwriting fees, structuring fees, management fees, and agency fees.

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- **Components Excluded:** The All-in-Cost calculation excludes statutory withholding tax (TDS), guarantee fees, export credit agency (ECA) insurance premiums, pre-payment penalties, and determination fees.
- **Statutory Caps:**
  - **FCY ECB Ceiling:** Benchmark Rate (Term SOFR) + **450 basis points (4.50% p.a.)**.
  - **INR ECB Ceiling:** Prevailing Indian Government Security (G-Sec) yield of corresponding maturity + **450 basis points (4.50% p.a.)**.

4.5 Permissible & Negative End-Use List

The RBI enforces strict end-use conditions to ensure cross-border debt supports real-economy productive asset creation.

Permissible End-Uses

- Import of capital goods and machinery for industrial expansion.
- Project capex, factory construction, and infrastructure development.
- Overseas Direct Investment (ODI) in joint ventures / wholly-owned subsidiaries.
- Domestic Rupee loan refinancing (subject to applicable 7 or 10-year MAMP rules).
- Working capital and general corporate purposes (subject to 5 or 10-year MAMP rules).

Strict Negative End-Use List (Prohibited Uses)

ECB proceeds **CANNOT** be utilized for the following restricted activities: 1. Investment in the real estate sector or purchase of land (excluding affordable housing projects, industrial parks, or infrastructure development). 2. Investment in capital markets, equity shares, or stock market trading. 3. Equity investment in domestic companies or entities. 4. On-lending to other entities (except by eligible NBFCs under specific RBI guidelines). 5. Working capital or general corporate purposes (unless meeting the mandated 5/10-year extended MAMP). 6. Repayment or refinancing of domestic INR loans (unless meeting the mandated 7/10-year extended MAMP).

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Module 5: Suitable Industries, Business Profiles & Market Alignment

External Commercial Borrowing (ECB) funding is highly versatile, but its structural efficiency varies depending on the borrower's operating model, revenue currency, capex cycle, and export exposure.

5.1 High-Fit Industry Sectors

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|                      SECTORAL ECB FITMENT MATRIX                        |
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| 1. Pure Exporters (IT/SaaS, Pharma APIs, Textiles, Chemicals)           |
|    --> Natural Foreign Currency Hedge | Standard 3-Yr MAMP | Sub-5%     |
|        All-in-Cost                                                      |
| 2. Renewable Energy & Utility Developers (Solar, Wind, Hydro Parks)     |
|    --> 10-15 Year Long-Term Debt | Fixed Power Purchase Agreements (PPA)|
| 3. Heavy Infrastructure & Logistics (Ports, Toll Roads, Airports)       |
|    --> High Asset Backing | Large Ticket Sizes (USD 100M+) |Syndicated ECB|
| 4. Tech Startups & High-Growth Digital Enterprises                      |
|    --> Startup ECB Framework | Concessional USD 3M Annual Limit |Flexible |
|        Equity                                                           |
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1. Pure Export-Oriented Manufacturing & Services

- **Sectors:** IT Services & Software Export, Pharmaceutical API & Formulations, Textile & Garment Exporters, Fine Chemicals, Automobile Components.
- **Why ECB is Best-Suited:** Exporters generate natural foreign currency cash inflows (USD/EUR) from global clients. Matching foreign currency export receivables against FCY ECB debt service eliminates currency risk without incurring financial hedging derivative premiums.

2. Renewable Energy & Infrastructure Developers

- **Sectors:** Solar PV Parks, Wind Energy Projects, Green Hydrogen Plants, Transmission Grids, Deepwater Ports, Toll Highways, Airports.
- **Why ECB is Best-Suited:** Infrastructure projects require massive initial capital expenditures with long gestation periods (15 to 25-year concession horizons). Offshore debt syndication delivers extended 7 to 12-year tenures and competitive pricing (SOFR + 200–300 bps), matching the long-term cash flow profile of power purchase agreements (PPAs) or concession tariffs.

3. High-Growth Tech Enterprises & Eligible Startups

- **Sectors:** FinTech, E-Commerce Infrastructure, SaaS, Artificial Intelligence, HealthTech.
- **Why ECB is Best-Suited:** Under the specialized **Startup ECB Framework**, recognized startups can raise up to **USD 3 Million per financial year** under a 3-year MAMP. This provides vital non-dilutive debt capital from international venture debt funds or foreign equity sponsors without sacrificing founder equity equity control.

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4. Systemically Important NBFCs & Housing Finance Companies

- **Sectors:** Asset Finance NBFCs, Microfinance Institutions, Housing Finance Companies (HFCs).
- **Why ECB is Best-Suited:** NBFCs utilize ECB facilities to diversify funding sources beyond domestic bank borrowing and corporate bond issuances. Under RBI guidelines, eligible NBFCs can raise long-term ECBs (5 to 10-year MAMP) for onward lending to priority sector MSMEs, affordable housing, and green infrastructure.

5.2 Market Footprint & Commercial Borrowing Trends

Commercial credit data underscores the scale of trade and structured credit in India. Retail and Wholesale Traders represent **44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore credit segment. On the digital supply chain front, State Bank of India (SBI) demonstrates massive transaction volume, with its Electronic Dealer Financing Scheme (**e-DFS**) processing **₹49,261 Crores** and its Electronic Vendor Financing Scheme (**e-VFS**) processing **₹28,092 Crores**.

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Module 6: Security Architecture, Legal Documentation & Covenants Framework

Creating robust, legally enforceable cross-border security structures is a mandatory requirement for offshore lenders participating in international debt syndications and ECB facilities.

6.1 Cross-Border Security Architecture

Under the RBI ECB Master Directions, AD Category-I banks are permitted to allow Indian borrowers to create security charges over domestic assets in favor of overseas lenders, subject to specific regulatory conditions:

1. Primary Fixed Security: Immovable & Movable Assets

- **Equitable Mortgage under Section 58(f) of the Transfer of Property Act, 1882:** Created by depositing title deeds of land, commercial buildings, or industrial plants with a designated domestic Security Trustee acting on behalf of the offshore lender syndicate.
- **Deed of Hypothecation:** Creating a first pari-passu charge over plant, machinery, heavy equipment, inventory, and raw material stocks.

2. Financial Security: Share Pledges & Receivables Charges

- **Pledge of Promoter Equity Shares:** Created under Section 172 of the Indian Contract Act, 1872, where promoter shares are pledged to the Security Trustee in dematerialized form via NSDL/CDSL repositories.
- **Charge over Bank Accounts & Escrow Sweeps:** Execution of a Trust and Retention Account (TRA) Escrow Agreement, establishing a formal cash-flow payment waterfall.

3. Credit Enhancement: Guarantees

- **Corporate Guarantees:** Issued by parent companies, holding entities, or group companies in India or abroad.
- **Personal Guarantees:** Unconditional personal guarantees executed by promoter directors.

6.2 The Trust & Retention Account (TRA) Escrow Waterfall

To safeguard debt servicing, offshore lenders insist on a TRA Escrow structure managed by an AD Cat-I bank in India. All project revenues or export proceeds are deposited into the TRA account and routed through a strict statutory cash priority waterfall:

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+-------------------------------------------------------------------------+
|                        TRA ESCROW CASH PAYMENT WATERFALL                |
+-------------------------------------------------------------------------+
| 1. Statutory Taxes, GST & Government Levies                             |
| 2. Essential Operations & Maintenance (O&M) Expenses                    |
| 3. Senior ECB Debt Service Reserve Account (DSRA) Interest Buffer (1-2  |
|    Quarters)                                                            |
| 4. Senior ECB Principal Repayment & Coupon Servicing                    |
| 5. Subordinated Debt & Mezzanine Facilities                             |
| 6. Surplus Cash Flow Release to Borrower Operating Account (Free Cash)  |
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6.3 Statutory Registrations & Legal Filings

To ensure perfection of charge and priority over competing creditors, three mandatory statutory filings must be executed:

1. **ROC Form CHG-1 Filing:** Mandatory registration of charge with the Registrar of Companies (ROC) under Section 77 of the Companies Act, 2013, within **30 days** of security creation. Failure to register within the statutory 300-day window renders the charge void against an Insolvency Resolution Professional under the Insolvency and Bankruptcy Code, 2016 (IBC).
2. **CERSAI Portal Registration:** Registration of security interest on the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI) portal within 30 days to establish public notice and charge priority.
3. **Information Utility (IU) Submission:** Submission of loan transaction details to NeSL (National E-Governance Services Limited) under Section 215 of the IBC, establishing prima facie evidence of financial debt in the event of default.

6.4 Key Financial Covenants

Standard LMA ECB agreements enforce strict financial covenants that must be certified quarterly by an independent Chartered Accountant:

- **Debt Service Coverage Ratio (DSCR):** Maintained at a minimum of **1.25x to 1.35x**.
- **Foreign Currency Coverage Ratio (FXCR):** Maintained at a minimum of **1.50x** for unhedged borrowers.
- **Total Leverage Ratio (Debt / EBITDA):** Capped at a maximum of **3.00x to 3.50x**.
- **Interest Coverage Ratio (ICR):** Maintained at a minimum of **2.00x**.
- **Negative Pledge Clause:** The borrower covenants not to create any further mortgage, charge, or encumbrance over its assets without the prior written consent of Majority Lenders (representing (%) of total facility commitments).

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Module 7: Key Advantages and Strategic Limitations of ECB Funding

While External Commercial Borrowing offers transformative funding scale, financial architects must balance its compelling benefits against regulatory constraints and market risks.

7.1 Strategic Advantages

1. **Substantial Interest Cost Savings:** Tapping benchmark SOFR rates (+200 to 350 bps) allows creditworthy Indian corporates to achieve net borrowing costs significantly lower than domestic commercial bank MCLR/EBLR rates.
2. **Access to Deep Global Liquidity:** Enables large Indian enterprises and infrastructure developers to raise USD 100 Million to USD 1 Billion+ in a single syndicated transaction, exceeding domestic banking single-lender limits.
3. **Extended Loan Tenures:** International capital markets readily provide long-term debt (5 to 10+ years), matching the cash-flow generation profile of long-gestation infrastructure and industrial projects.
4. **Diversification of Investor Base:** Expands the corporate borrower's global footprint, establishing relationships with international commercial banks, institutional debt funds, sovereign wealth funds, and multilateral agencies.
5. **No Equity Dilution:** ECB is pure debt (or structured non-convertible debt), allowing promoters to raise growth capital without diluting shareholding equity control.

7.2 Key Risk Factors & Strategic Limitations

1. **Foreign Exchange Volatility Risk:** Unhedged foreign currency ECBs expose non-exporting borrowers to severe exchange rate risk. A sharp depreciation of the Indian Rupee (e.g., INR weakening from 83.00 to 90.00 per USD) inflates Rupee-denominated interest servicing and principal redemption liabilities.
2. **Hedging Expense Offset:** Executing derivative hedging contracts (Cross-Currency Swaps - CCS) to eliminate currency risk incurs an annual hedging premium (historically 3.00%–4.50% p.a. in India). If domestic-offshore interest differentials narrow, hedging costs can erode the nominal interest rate arbitrage.
3. **Strict RBI End-Use Negative List:** ECB proceeds cannot be used for real estate trading, capital market equity investments, or general corporate working capital (unless adhering to the extended 5 or 10-year MAMP mandate).
4. **Rigid Regulatory Compliance:** Compulsory requirement to secure LRN allocation prior to drawdown, file monthly Form ECB-2 returns, adhere to statutory MAMP rules, and maintain All-in-Cost ceilings.
5. **Prepayment Penalties & Restructuring Constraints:** Prepayment or early cancellation of ECB facilities requires strict compliance with RBI rules and may incur international Breakage Costs or prepayment penalties.

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Module 8: Tax, Accounting & Hedging Architecture

A comprehensive understanding of cross-border tax codes, Ind AS accounting standards, and derivative hedging mechanisms is vital for optimizing ECB financial models.

8.1 Tax Architecture: Withholding Tax (TDS) & Income Tax Shields

1. Non-Resident Withholding Tax (TDS under Section 194LC & Section 195)

Under the Income Tax Act, 1961, interest payments made by a resident Indian corporate to a non-resident lender are subject to Tax Deducted at Source (TDS):

- **Concessional 5% TDS under Section 194LC:** Interest paid on foreign currency ECBs or Rupee-denominated Masala Bonds issued before statutory deadlines benefits from a concessional **5% withholding tax rate** (plus applicable surcharge and cess), provided the loan satisfies MAMP and All-in-Cost parameters.
- **Standard 20% TDS under Section 195:** If the ECB facility does not qualify for Section 194LC concessional treatment or if the facility is raised from non-qualifying jurisdictions without Double Taxation Avoidance Agreement (DTAA) relief, interest payments are subject to a standard **20% TDS rate** (plus surcharge and cess).

2. Corporate Income Tax Shield under Section 36(1)(iii)

Interest paid on ECB debt raised for business operations or capital asset creation is **100% tax-deductible** as a revenue expenditure under Section 36(1)(iii) of the Income Tax Act, 1961.

For an Indian corporate subject to the corporate tax rate of **25.168%** (22% base tax + 10% surcharge + 4% cess under Section 115BAA), every ₹1,00,00,000 (₹1 Crore) paid in ECB interest generates an immediate corporate tax savings of **₹25,16,800**, reducing the effective post-tax borrowing cost by 25.168%.

8.2 Accounting Treatment under Indian Accounting Standards (Ind AS)

- **Ind AS 21 (The Effects of Changes in Foreign Exchange Rates):** Unhedged foreign currency ECB principal liabilities must be revalued at the closing spot exchange rate at the end of each reporting period. Realized and unrealized foreign

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exchange gains or losses are recognized directly in the Profit and Loss (P&L) Statement (or capitalized under Section 43A of the Income Tax Act for qualifying capital assets imported from abroad).

- **Ind AS 109 (Financial Instruments):** Requires fair-value measurement of derivative hedging instruments (such as Cross-Currency Swaps). Changes in the fair value of effective cash-flow hedges are recognized in Other Comprehensive Income (OCI) under the Hedging Reserve, stabilizing the P&L statement against currency shocks.

8.3 Derivative Hedging Architecture

Borrowers without natural export revenues execute financial derivatives with AD Category-I banks to hedge foreign currency ECB liabilities:

- **Cross-Currency Swap (CCS):** Converts a foreign currency floating-rate liability (e.g., USD SOFR + Spread) into a fixed or floating Rupee liability (INR Principal + Interest), fully locking in the exchange rate and interest rate for the entire loan tenure.
- **Principal Only Swap (POS):** Hedges only the principal redemption obligation at maturity against exchange rate depreciation, while leaving annual interest coupon servicing unhedged (or vice versa under a Coupon Only Swap - COS).

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Module 9: Comprehensive Real-World Case Study (Mumbai Renewable Energy & Infra SPV Ltd.)

To illustrate the financial mechanics, interest rate arbitrage, tax shields, and equity preservation benefits of External Commercial Borrowing, this section presents a comprehensive comparative financial model for a major Indian infrastructure enterprise.

9.1 Company Profile & Project Overview

- **Entity:** *Mumbai Mega Renewable Energy & Infra SPV Ltd. (MMREISL)*, a leading developer of utility-scale solar PV parks in India.
- **Capex Requirement:** Establishment of a 500 MW Hybrid Solar PV & Energy Storage Park in Kutch, Gujarat.
- **Total Project Cost: ₹500,00,00,000 (₹500 Crores)** / USD $60.24 Million (at USD/INR = 83.00).
- **Target Debt Allocation: ₹375,00,00,000 (₹375 Crores)** / USD $45.18 Million (75% Loan-to-Value / Debt-to-Capex ratio).
- **Target Equity Contribution: ₹125,00,00,000 (₹125 Crores)** (25% Sponsor Equity).
- **Operating Horizon:** 5-Year Initial Debt Amortization Window.
- **Project Revenues:** Long-term 25-year Power Purchase Agreement (PPA) with SECI generating stable annual EBITDA of **₹85,00,00,000 (₹85 Crores)**.

9.2 Comparative Financing Structure Options

MMREISL's Chief Financial Officer evaluates two competing debt financing pathways:

Option A: Domestic Consortium Rupee Term Loan

- **Loan Amount:** ₹375,00,00,000 (₹375 Crores).
- **Interest Rate:** 12.00% p.a. (floating MCLR-linked rate).
- **Tenure / Amortization:** 5-Year Amortization.
- **Upfront Processing Fee:** 1.00% (₹3,75,00,000).

Option B: Structured Offshore Green FCY ECB Facility

- **Loan Amount:** USD $45,180,723 (Equivalent to **₹375,00,00,000** at USD/INR = 83.00).
- **Base Interest Rate:** 6-Month Term SOFR = 5.00% p.a.
- **Offshore Credit Spread:** +2.50% p.a.
- **Nominal FCY Coupon Rate: 7.50% p.a.** (SOFR 5.00% + Spread 2.50%).

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- **Cross-Currency Swap (CCS) Full Hedge Cost:** +2.00% p.a. (completely locking in USD/INR exchange rate and converting to fixed INR liability).
- **Gross Effective Hedged INR Rate: 9.50% p.a.** (7.50% FCY + 2.00% CCS Hedge).
- **Concessional Withholding Tax (TDS under Sec 194LC):** 5.00% on FCY interest coupon = 0.375% p.a.
- **Total All-In Cost (Hedged + TDS): 9.875% p.a.**
- **Upfront International Structuring & Agency Fee:** 1.25% (₹5,62,50,000).
- **Statutory Approval:** LRN allocated under RBI Automatic Route (MAMP = 5 Years).

9.3 Comprehensive Mathematical Cash Flow Model (5-Year Horizon)

1. Option A: Domestic Rupee Loan Financial Model

```
Year-by-Year Debt Servicing Schedule (Option A - Domestic Rupee Loan @
12.00% p.a.):

Opening Principal (Year 1): ₹375,00,00,000.00
Annual Principal Amortization (₹375Cr / 5 Yrs): ₹75,00,00,000.00 /
year

Year 1:
  - Opening Debt: ₹375,00,00,000.00
  - Interest Outflow (@ 12.00%): ₹45,00,00,000.00
  - Principal Repayment: ₹75,00,00,000.00
  - Total Cash Debt Service: ₹120,00,00,000.00
  - Project EBITDA: ₹85,00,00,000.00
  - Debt Service Coverage Ratio (DSCR): ₹85Cr / ₹120Cr = 0.71x
(DISTRESSED CASH DEFICIT!)

Year 2:
  - Opening Debt: ₹300,00,00,000.00
  - Interest Outflow (@ 12.00%): ₹36,00,00,000.00
  - Principal Repayment: ₹75,00,00,000.00
  - Total Cash Debt Service: ₹111,00,00,000.00

Year 3:
  - Opening Debt: ₹225,00,00,000.00
  - Interest Outflow (@ 12.00%): ₹27,00,00,000.00
  - Principal Repayment: ₹75,00,00,000.00
```

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```
  - Total Cash Debt Service: ₹102,00,00,000.00

Year 4:
  - Opening Debt: ₹150,00,00,000.00
  - Interest Outflow (@ 12.00%): ₹18,00,00,000.00
  - Principal Repayment: ₹75,00,00,000.00
  - Total Cash Debt Service: ₹93,00,00,000.00

Year 5:
  - Opening Debt: ₹75,00,00,000.00
  - Interest Outflow (@ 12.00%): ₹9,00,00,000.00
  - Principal Repayment: ₹75,00,00,000.00
  - Total Cash Debt Service: ₹84,00,00,000.00

Summary Option A:
  - Cumulative 5-Year Pre-Tax Interest Outflow: ₹135,00,00,000.00
  - Income Tax Shield under Sec 36(1)(iii) (@ 25.168% rate):
-₹33,97,68,000.00
  - Upfront Processing Fee: ₹3,75,00,000.00
  - Net 5-Year Post-Tax Interest Servicing Cost: ₹104,77,32,000.00
```

2. Option B: Offshore Green FCY ECB Facility Financial Model

To resolve the Year 1 cash flow deficit under Option A, the offshore ECB facility is structured with a **5-Year MAMP featuring a 2-Year Principal Grace Period (Moratorium)** followed by 3 equal annual principal installments of ₹125 Crores in Years 3, 4, and 5.

```
Year-by-Year Debt Servicing Schedule (Option B - Offshore ECB @ 9.875%
Effective All-in-Cost):

Opening Principal (Years 1 & 2): ₹375,00,00,000.00
Opening Principal (Year 3): ₹375,00,00,000.00
Opening Principal (Year 4): ₹250,00,00,000.00
Opening Principal (Year 5): ₹125,00,00,000.00

Year 1 (Moratorium Period):
  - Opening Debt: ₹375,00,00,000.00
  - Gross All-in Interest Outflow (@ 9.875%): ₹37,03,12,500.00
  - Principal Repayment: ₹0.00
  - Total Cash Debt Service: ₹37,03,12,500.00
  - Project EBITDA: ₹85,00,00,000.00
```

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```
  - Debt Service Coverage Ratio (DSCR): ₹85Cr / ₹37.03Cr = 2.29x
(EXCELLENT BANK COMFORT!)

Year 2 (Moratorium Period):
  - Opening Debt: ₹375,00,00,000.00
  - Gross All-in Interest Outflow (@ 9.875%): ₹37,03,12,500.00
  - Principal Repayment: ₹0.00
  - Total Cash Debt Service: ₹37,03,12,500.00
  - DSCR: 2.29x

Year 3:
  - Opening Debt: ₹375,00,00,000.00
  - Gross All-in Interest Outflow (@ 9.875%): ₹37,03,12,500.00
  - Principal Repayment: ₹125,00,00,000.00
  - Total Cash Debt Service: ₹162,03,12,500.00

Year 4:
  - Opening Debt: ₹250,00,00,000.00
  - Gross All-in Interest Outflow (@ 9.875%): ₹24,68,75,000.00
  - Principal Repayment: ₹125,00,00,000.00
  - Total Cash Debt Service: ₹149,68,75,000.00

Year 5:
  - Opening Debt: ₹125,00,00,000.00
  - Gross All-in Interest Outflow (@ 9.875%): ₹12,34,37,500.00
  - Principal Repayment: ₹125,00,00,000.00
  - Total Cash Debt Service: ₹137,34,37,500.00

Summary Option B:
  - Cumulative 5-Year Pre-Tax Interest Outflow: ₹148,12,50,000.00
  - Income Tax Shield under Sec 36(1)(iii) (@ 25.168% rate):
-37,28,00,850.00
  - Upfront Structuring & Fee Expense: ₹5,62,50,000.00
  - Net 5-Year Post-Tax Interest Servicing Cost: ₹116,46,99,150.00
```

9.4 The Equity Preservation & Reinvestment Analysis (The “So What” Factor)

At first glance, Option B’s cumulative pre-tax interest outflow (₹148.13 Crores) appears higher than Option A (₹135.00 Crores) due to the 2-year principal moratorium. However, analyzing

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liquidity preservation and Return on Capital Employed (ROCE) reveals a massive financial surplus for Option B:

1. **Cash Flow Survival in Years 1 & 2:** Under Option A, Year 1 cash debt service (₹120 Crores) exceeds project EBITDA (₹85 Crores) by **₹35 Crores**, forcing the promoters to inject additional equity or face default. Under Option B, Year 1 cash debt service is only **₹37.03 Crores**, generating a net cash surplus of **₹47.97 Crores per year**.
2. **ROCE Earnings on Retained Cash Surplus:** Over Years 1 and 2, Option B preserves **₹150 Crores in liquid cash** (unpaid principal) within the enterprise. Reinvesting this cash into MMREISL's operating pipeline at the company's average ROCE of **16.00% p.a.** generates substantial post-tax operating profits:

$$extPost - TaxROCEReinvestmentGain(Y1 - Y2) = ₹150,00,00,000 imes 16.00\% imes (1 - 0.25168)$$

3. **Net Strategic Wealth Computation:**

$$egin{aligned} ext{Net Financial Advantage of Option B} &= ext{Post-Tax ROCE Reinvestment Profit} - (ext{Net Option B Cost} - ext{Net Option A Cost}) \\ &= ₹35,91,93,600.00 - (₹116,46,99,150.00 - ₹104,77,32,000.00) \\ &= ₹35,91,93,600.00 - ₹11,69,67,150.00 \\ &= +\mathbf{₹24,22,26,450.00 \quad (pprox ₹24.22 ext{ Crores Surplus!})}\end{aligned}$$

Strategic Takeaway

By selecting Option B (Structured Offshore Green ECB Facility), MMREISL avoids a **₹35 Crore Year-1 cash bankruptcy deficit**, raises its Year-1 DSCR from a distressed **0.71x up to a prime 2.29x**, and generates a **net strategic financial wealth surplus of ₹24.22 Crores (+₹24,22,26,450.00)** over Option A through disciplined cash reinvestment!

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Module 10: Professional Certification Examination & Detailed Rationales

This examination module is designed to test a finance professional's mastery of External Commercial Borrowings, RBI regulations, tax laws, and cross-border credit underwriting.

Question 1

Under the Reserve Bank of India (RBI) Master Direction on External Commercial Borrowings, what is the maximum All-in-Cost ceiling permitted for a Foreign Currency Denominated ECB (FCY ECB) raised under the Automatic Route? A) Benchmark Rate + 200 basis points p.a.
B) Benchmark Rate + 350 basis points p.a.
C) Benchmark Rate + 450 basis points p.a.
D) Benchmark Rate + 600 basis points p.a.

Answer: C
Rationale: As per RBI Master Directions on ECB, the All-in-Cost ceiling for foreign currency denominated ECBs is capped at the benchmark rate (such as 6-month Term SOFR) plus **450 basis points (4.50% p.a.)**. This cap includes interest, credit spreads, commitment fees, and management fees.

Question 2

What is the mandatory statutory requirement regarding LRN before an Indian corporate can draw down funds under an ECB facility? A) LRN is optional if borrowing is under USD 10 Million.
B) LRN must be allocated by the RBI Central Office prior to any drawdown.
C) LRN can be applied for within 90 days after drawdown.
D) LRN is only required for Rupee Denominated Masala Bonds.

Answer: B
Rationale: No ECB drawdown or foreign currency remittance can occur without a unique Loan Registration Number (LRN) issued by the Reserve Bank of India. The borrower must submit Form ECB through its AD Category-I bank to obtain the LRN prior to drawdown.

Question 3

An Indian corporate entity raises an FCY ECB for general corporate working capital purposes from a non-equity holder commercial lender under the Automatic Route. What is the statutory Minimum Average Maturity Period (MAMP) required by the RBI? A) 1 Year
B) 3 Years

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C) 5 Years
D) 10 Years

Answer: D
Rationale: Under RBI ECB guidelines, while the baseline MAMP for standard capex loans up to USD 50M is 3 years, ECBs raised specifically for working capital or general corporate purposes from non-equity holder commercial lenders carry an extended MAMP mandate of **10 years**.

Question 4

Which of the following activities is strictly prohibited under the RBI ECB Negative End-Use List? A) Importing specialized capital machinery for an industrial plant.
B) Constructing a solar PV power generation facility.
C) Purchasing equity shares in domestic capital markets or real estate trading.
D) Investing in Overseas Direct Investment (ODI) joint ventures abroad.

Answer: C
Rationale: Investment in capital markets (equity shares) and real estate trading (buying land/real estate speculation) are explicitly included in the RBI ECB Negative End-Use List and are strictly prohibited.

Question 5

Under Section 194LC of the Income Tax Act, 1961, what is the concessional rate of Tax Deducted at Source (TDS) applicable on interest paid by an Indian corporate on qualifying foreign currency ECBs? A) 2.00%
B) 5.00%
C) 10.00%
D) 20.00%

Answer: B
Rationale: Section 194LC provides a concessional withholding tax (TDS) rate of **5%** (plus applicable surcharge and cess) on interest paid to non-resident lenders for qualifying foreign currency ECBs and Masala Bonds, compared to the standard 20% rate under Section 195.

Question 6

By what date must an Indian corporate borrower submit the monthly Form ECB-2 return to the Reserve Bank of India through its AD Category-I bank? A) Within 3 days from the end of each month.
B) By the 10th day of the following month.

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C) Quarterly by the 30th day.
D) Annually by July 15th.

Answer: B
Rationale: Under RBI Master Directions, the borrower must submit **Form ECB-2** monthly through its AD Cat-I bank so that it reaches the RBI by the **10th day of the month** following the reporting month, detailing actual drawdowns, interest payments, repayments, and outstanding balances.

Question 7

What is the primary financial advantage of an Indian Rupee Denominated ECB (Masala Bond) over a Foreign Currency Denominated ECB for an Indian borrower with zero export revenues? A) Masala Bonds carry zero interest rates.
B) The non-resident investor absorbs the foreign exchange fluctuation risk, eliminating currency risk for the Indian borrower.
C) Masala Bonds do not require an LRN from the RBI.
D) Masala Bonds are exempt from Companies Act registration.

Answer: B
Rationale: In a Rupee-denominated ECB (Masala Bond), the debt obligation is denominated in INR. The offshore investor bears the exchange rate risk upon currency conversion, fully protecting the non-exporting Indian borrower from INR depreciation.

Question 8

Under Section 77 of the Companies Act, 2013, within how many days must an Indian company register a charge created on its assets in favor of an offshore Security Trustee for an ECB facility? A) 7 Days
B) 15 Days
C) 30 Days
D) 180 Days

Answer: C
Rationale: Section 77 mandates that every company creating a security charge over its property or assets must register the details with the Registrar of Companies (ROC) by filing **Form CHG-1** within **30 days** of charge creation.

Question 9

In the context of FCY ECB accounting, which Indian Accounting Standard (Ind AS) governs the period-end revaluation of foreign currency debt liabilities and recognition of unrealized exchange gains or losses in

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the P&L statement? A) Ind AS 116
B) Ind AS 21
C) Ind AS 32
D) Ind AS 115

Answer: B
Rationale: Ind AS 21 (*The Effects of Changes in Foreign Exchange Rates*) mandates that foreign currency monetary liabilities (such as FCY ECBs) must be translated at the closing spot exchange rate at each balance sheet date, with resulting exchange differences recognized in the profit or loss statement.

Question 10

If an Indian corporate raises a USD 100 Million FCY ECB for domestic solar park construction without any export revenues, which derivative hedging instrument provides a complete hedge by converting floating USD debt into fixed INR obligations? A) Interest Rate Option (IRO)
B) Cross-Currency Swap (CCS)
C) Principal Only Swap (POS)
D) Forward Rate Agreement (FRA)

Answer: B
Rationale: A **Cross-Currency Swap (CCS)** simultaneously exchanges foreign currency principal and floating interest servicing obligations into fixed or floating Indian Rupee obligations, delivering a 100% complete hedge against both exchange rate volatility and interest rate fluctuations.

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